

hubcap will buy mutual funds without opening the prospectus. People who check the expiration date on cottage cheese wouldn't think of investigating the background of their broker. They know next to nothing about whether the broker has made or lost money for clients, whether he's been reprimanded or sued, or how long he's been in the investment business.

People who save the little warranties on their toaster ovens throw away the annual reports of companies in which they've entrusted their life savings. People who would never reveal their net worth to friends, relatives, or psychiatrists routinely tell all to any stockbroker, even during the introductory chat.

The way these brokers are generally chosen has nothing to do with stupidity. It has to do with the numbing effect of assets on the brain. The very thought of investing money often works like an anesthetic, and all critical faculties automatically shut down.

Our latest family broker was Richard Bermont of Drexel Burnham Lambert. As usual, Mr. Bermont was highly recommended by an acquaintance who'd done very well in the stock market. My wife and I visited him in his office on the top floor of a modern high-rise—above several layers of corporate lawyers where the long-term view was excellent. We noticed that Mr. Bermont was short, balding, and partial to monogrammed shirts. He sat enraptured, pecking at his electronic rune stone, looking out across a harbor and speaking between long pauses for oracular effect.

After a short exchange of pleasantries, we decided to hand over all our money, or whatever was left of the spousal assets. The reasons were twofold: (1) we'd never had a Drexel account—though we'd been through Paine Webber, Spear Leeds, Shearson Lehman, and Prescott, Ball and Turben; and (2) Mr. Bermont seemed nice.

Before we'd memorized Mr. Bermont's name, he had the list of all our holdings, plus a signed authority to transfer them from our previous broker's account. That night, we worried that Mr. Bermont would run off to Bimini with these funds. I'd had similar worries before, so I recognized the syndrome. After every change of broker, we'd lie awake wondering if the new one would reinvest the money or abscond with it. This proves how little we knew about any of them.